

These contributions also lower your annual taxable income during your working years.

- These account types allow for extra catchup contributions if you are above the age of 50.

### Drawbacks

- There's an annual limit on how much you can contribute (however, employer contributions don't count toward this).
- You'll have to pay taxes on your money when you retire.
- There are stiff penalties for early withdrawals under the age of 59½.
- These account types typically have fewer investing choices than IRAs.

***Roth 401(k)—Employer-sponsored.*** In addition to the 401(k), many employers offer a Roth 401(k) option to their employees, which allows you to make contributions with your after-tax income. It works the same way a Roth IRA does (see overview below), but the main difference is the contribution maximum is much higher, similar to the traditional 401(k).

### ► NOTE

Employer retirement accounts are specific to people who have an employer. While many employer plans can have high fees and limited investment options, an employer's plan is sometimes the first exposure many people have to investing. Contributing to these plans allows you to take advantage of any employer match programs if they are offered, or to automate your investing if no employer match exists. In addition, employer plans typically have much higher contribution maximums than other types of retirement accounts.